

## SK hynix

### 1Q26 earnings wrap

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## SK hynix: 1Q26 result key highlight and 2Q26/2026 outlook, Dec-26 PT: W1.8M

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- **DRAM: 1Q26 B/G in-line, ASP higher than expectations, ASP momentum stronger in 2Q26**
- 1Q26 DRAM ASP: +63% and flat B/G; OPM at +77% and HBM sales rising +7% Q/Q (sales mix: 23%)
- 2Q26E DRAM ASP: +42% and 8% B/G; OPM at +82% and HBM sales rising +15% Q/Q (sales mix: 17%)
- DRAM inventory moved down to < 2 weeks / channel customer inventory depleting
- Demand driver update: AI compute and non-AI server compute spec upgrade lead the growth
- 2026 HBM B/G at +40% unchanged; HBM4 shipment slightly pushed back; HBM4 bit crossover in 2H26
- Production strategy: Balancing DRAM and HBM production (HBM bit mix: 15% in 26E)
  
- **NAND: 1Q26 B/G -11%, ASP beat at +73%, ASP momentum stronger in 2Q26**
- 1Q26 NAND ASP: +73% and B/G -11%; OPM at 57% and eSSD solution mix 70%+
- 2Q26E NAND ASP: +45% and B/G +11%; OPM at 70%
- NAND inventory near 3-4 weeks, channel inventory also declining
- Demand driver update: AI-driven eSSD demand / JPMe: 2026 NAND demand at +21%
- NAND UTR back to full-rate, SKH migrating to 321L NAND targeting 50% domestic production mix by yearend
  
- **Capex: meaningfully raising 2026 spending estimates to W43trn (13% capital intensity)**
- Faster 321L NAND ramp led us to raise NAND capex by 25% to W3.8trn (mainly WFE). No change in DRAM WFE spending. Upside mostly coming from higher infrastructure capex. HBM TSV back-end capacity target at 220k by 26-end (50k increase). Above 50% of non-HBM fab in Korea to be 1cnm by 26-end
- M15X SPE pull-in vs. Yongin cluster + P&T 7 infra, targets tech migration (1cnm/321L) in 2026

## SK hynix: 1Q26 result recap – In-line earnings after a significant EPS upward revision

### 1Q26 result review

Won in billions

|                         | 1Q25   | 4Q25   | 1Q26<br>actual | 1Q26<br>JPMe | Diff. (%) vs<br>Prev. | Q/Q (%) | Y/Y (%) |
|-------------------------|--------|--------|----------------|--------------|-----------------------|---------|---------|
| <b>Sales</b>            | 17,639 | 32,827 | 52,576         | 49,081       | 7.1                   | 60.2    | 198.1   |
| DRAM                    | 14,037 | 24,659 | 40,195         | 36,795       | 9.2                   | 63.0    | 186.4   |
| NAND Flash              | 3,229  | 7,744  | 11,980         | 11,836       | 1.2                   | 54.7    | 271.0   |
| MCP and others          | 373    | 423    | 401            | 450          | -10.8                 | -5.1    | 7.4     |
| COGS                    | 7,537  | 10,250 | 10,897         | 10,240       | 6.4                   | 6.3     | 44.6    |
| <b>Gross profit</b>     | 10,102 | 22,576 | 41,679         | 38,840       | 7.3                   | 84.6    | 312.6   |
| <i>GP margin (%)</i>    | 57     | 69     | 79             | 79           |                       |         |         |
| SG&A expenses           | 2,661  | 3,407  | 4,069          | 4,295        | -5.3                  | 19.4    | 52.9    |
| <i>% of sales</i>       | 15     | 10     | 8              | 9            |                       |         |         |
| <b>Operating profit</b> | 7,441  | 19,170 | 37,610         | 34,546       | 8.9                   | 96.2    | 405.5   |
| <i>OP margin (%)</i>    | 42     | 58     | 72             | 70           |                       |         |         |
| DRAM                    | 7,337  | 16,574 | 30,806         | 28,005       | 10.0                  | 85.9    | 319.9   |
| <i>Margin (%)</i>       | 52     | 67     | 77             | 76           |                       |         |         |
| NAND Flash              | 81     | 2,579  | 6,781          | 6,514        | 4.1                   | 163.0   | 8301.1  |
| <i>Margin (%)</i>       | 3      | 33     | 57             | 55           |                       |         |         |
| MCP and others          | 23     | 16     | 23             | 27           | -16.0                 | 38.5    | -1.0    |
| <i>Margin (%)</i>       | 6      | 4      | 6              | 6            |                       |         |         |
| Net Interest Income     | -126   | -72    | 22             | -33          | n/a                   | n/a     | n/a     |
| Net Other Income        | 1,985  | -1,445 | 13,985         | 571          | 2347.5                | n/a     | 604.6   |
| <b>Recurring profit</b> | 9,299  | 17,653 | 51,617         | 35,084       | 47.1                  | 192.4   | 455.1   |
| Tax/Minority interest   | 1,191  | 2,407  | 11,271         | 5,964        | 89.0                  | 368.2   | 846.3   |
| <b>Net profit</b>       | 8,108  | 15,220 | 40,330         | 29,120       | 38.5                  | 165.0   | 397.4   |

## SK hynix: Longer upturn cycle for both DRAM and NAND

### Most recent earnings revisions

Won in billions, Unit

|                               | Revised        |                |                | Prior          |                |                | Difference  |                                                                                         |             |
|-------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|-------------|-----------------------------------------------------------------------------------------|-------------|
|                               | 2026E          | 2027E          | 2028E          | 2026E          | 2027E          | 2028E          | 2026E       | 2027E                                                                                   | 2028E       |
| DRAM Shipments (8Gb equiv.)   | 13,224         | 15,866         | 19,024         | 13,167         | 15,786         | 18,825         | 0.4         | 0.5                                                                                     | 1.1         |
| ASP (US\$, 8Gb equiv.)        | 12.8           | 14.9           | 15.4           | 10.6           | 12.4           | 13.0           | 20.1        | 20.5                                                                                    | 18.3        |
| NAND shipments (256Gb equiv.) | 6,275          | 7,494          | 8,858          | 6,258          | 7,420          | 8,772          | 0.3         | 1.0                                                                                     | 1.0         |
| ASP (US\$, 256Gb equiv.)      | 8.5            | 9.8            | 9.0            | 7.1            | 7.7            | 7.1            | 19.2        | 27.8                                                                                    | 26.5        |
| <b>Sales</b>                  | <b>321,554</b> | <b>436,252</b> | <b>524,317</b> | <b>265,710</b> | <b>355,349</b> | <b>433,026</b> | <b>21.0</b> | <b>22.8</b>                                                                             | <b>21.1</b> |
| DRAM sales                    | 243,447        | 332,006        | 410,752        | 200,324        | 274,039        | 343,549        | 21.5        | 21.2                                                                                    | 19.6        |
| NAND (Inc. MCP) sales         | 78,107         | 104,245        | 113,565        | 65,387         | 81,311         | 89,477         | 19.5        | 28.2                                                                                    | 26.9        |
| <b>Operating profit</b>       | <b>251,721</b> | <b>343,614</b> | <b>403,034</b> | <b>204,271</b> | <b>274,247</b> | <b>326,178</b> | <b>23.2</b> | <b>25.3</b>                                                                             | <b>23.6</b> |
| <i>OP margin, %</i>           | 78.3           | 78.8           | 76.9           | 76.9           | 77.2           | 75.3           | 1.4         | 1.6  | 1.5         |
| DRAM OP                       | 198,316        | 268,565        | 325,669        | 160,906        | 216,403        | 265,429        | 23.2        | 24.1                                                                                    | 22.7        |
| NAND+MCP OP                   | 53,405         | 75,049         | 77,365         | 43,365         | 57,844         | 60,749         | 23.2        | 29.7                                                                                    | 27.4        |
| <b>Net Income</b>             | <b>210,338</b> | <b>275,584</b> | <b>326,887</b> | <b>172,661</b> | <b>234,412</b> | <b>281,926</b> | <b>21.8</b> | <b>17.6</b>                                                                             | <b>15.9</b> |
| <b>EPS (Won)</b>              | <b>288,911</b> | <b>378,503</b> | <b>448,966</b> | <b>242,262</b> | <b>328,906</b> | <b>395,574</b> | <b>19.3</b> | <b>15.1</b>                                                                             | <b>13.5</b> |

Source: Company data, J.P. Morgan estimates.

## SK hynix : DRAM assumption – elongated upcycle continues

### SK Hynix – DRAM business summary

| US\$ millions, US\$, 8Gb equiv, K/month | 1Q25          | 2Q25          | 3Q25          | 4Q25          | 1Q26          | 2Q26E         | 3Q26E         | 4Q26E         | 1Q27E         | 2Q27E         | 3Q27E         | 4Q27E         | 2024          | 2025          | 2026E          | 2027E          | 2028E          |
|-----------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|
| ASP (US\$)                              | 4.3           | 4.4           | 4.6           | 5.6           | 9.1           | 12.9          | 14.0          | 14.5          | 14.6          | 14.8          | 15.0          | 15.2          | 3.7           | 4.8           | 12.8           | 14.9           | 15.4           |
| Seq. change, %                          | 0.7           | 1.5           | 4.3           | 23.1          | 62.5          | 41.7          | 8.5           | 3.0           | 1.1           | 1.4           | 1.5           | 1.3           | 79.1          | 30.1          | 168.4          | 17.1           | 3.2            |
| Operating cost (US\$)                   | 2.1           | 2.0           | 1.9           | 1.8           | 2.1           | 2.3           | 2.4           | 2.5           | 2.8           | 2.8           | 2.8           | 3.0           | 2.0           | 1.9           | 2.4            | 2.9            | 3.2            |
| Cash Cost (US\$)                        | 1.5           | 1.5           | 1.4           | 1.3           | 1.6           | 1.7           | 1.8           | 1.8           | 2.0           | 1.9           | 1.9           | 2.0           | 1.5           | 1.4           | 1.7            | 2.0            | 2.0            |
| Cost change, %                          | -5%           | -4%           | -4%           | -3%           | 16%           | 9%            | 5%            | 4%            | 10%           | 0%            | 3%            | 5%            | -1%           | -4%           | 22%            | 21%            | 12%            |
| Cash cost chg. %                        | -10%          | -1%           | -5%           | -5%           | 19%           | 9%            | 2%            | 2%            | 9%            | -4%           | 2%            | 5%            | 7%            | -3%           | 22%            | 13%            | 5%             |
| Shipments (mn)                          | 2,242         | 2,795         | 3,013         | 3,028         | 3,014         | 3,249         | 3,427         | 3,534         | 3,642         | 3,790         | 4,079         | 4,356         | 8,933         | 11,077        | 13,224         | 15,866         | 19,024         |
| Seq. change, %                          | -7.1          | 24.7          | 7.8           | 0.5           | -0.4          | 7.8           | 5.5           | 3.1           | 3.1           | 4.1           | 7.6           | 6.8           | 16.0          | 24.0          | 19.4           | 20.0           | 19.9           |
| <b>Sales</b>                            | <b>14,037</b> | <b>17,124</b> | <b>19,084</b> | <b>24,659</b> | <b>40,195</b> | <b>61,395</b> | <b>68,804</b> | <b>73,053</b> | <b>74,523</b> | <b>78,620</b> | <b>85,918</b> | <b>92,945</b> | <b>44,732</b> | <b>74,904</b> | <b>243,447</b> | <b>332,006</b> | <b>410,752</b> |
| OP                                      | 7,337         | 9,378         | 11,124        | 16,574        | 30,806        | 50,376        | 56,873        | 60,261        | 60,316        | 63,882        | 69,649        | 74,717        | 20,259        | 44,413        | 198,316        | 268,565        | 325,669        |
| OP margin (%)                           | 52            | 55            | 58            | 67            | 77            | 82            | 83            | 82            | 81            | 81            | 81            | 80            | 45            | 59            | 81             | 81             | 79             |
| Revenue per wafer (US\$)                | 8,829         | 11,023        | 12,071        | 14,546        | 22,659        | 33,374        | 36,041        | 37,019        | 43,811        | 44,569        | 45,970        | 48,108        | 8,035         | 11,669        | 32,462         | 45,693         | 56,531         |
| <b>HBM Sales (US\$M)</b>                | <b>4,093</b>  | <b>4,871</b>  | <b>5,367</b>  | <b>5,855</b>  | <b>6,255</b>  | <b>7,221</b>  | <b>8,726</b>  | <b>9,219</b>  | <b>10,056</b> | <b>10,851</b> | <b>13,490</b> | <b>16,669</b> | <b>9,232</b>  | <b>20,186</b> | <b>31,421</b>  | <b>51,066</b>  | <b>87,155</b>  |
| HBM Sales mix (%)                       | 29            | 28            | 28            | 24            | 16            | 12            | 13            | 13            | 13            | 14            | 16            | 18            | 21            | 27            | 13             | 15             | 21             |
| HBM bit shipment (mn)                   | 311           | 354           | 380           | 423           | 445           | 500           | 540           | 546           | 594           | 620           | 719           | 829           | 726           | 1,468         | 2,031          | 2,762          | 4,157          |
| HBM bit mix (%)                         | 14            | 13            | 13            | 14            | 15            | 15            | 16            | 15            | 16            | 16            | 18            | 19            | 8             | 13            | 15             | 17             | 22             |
| HBM ASP (US\$)                          | 1.6           | 1.7           | 1.8           | 1.7           | 1.8           | 1.8           | 2.0           | 2.1           | 2.1           | 2.2           | 2.3           | 2.5           | 1.6           | 1.7           | 1.9            | 2.3            | 2.6            |
| HBM ASP premium (%) vs. non-HBM         | 5             | 5             | 4             | 3             | 2             | 1             | 1             | 1             | 1             | 1             | 1             | 1             | 4             | 4             | 1              | 1              | 2              |
| HBM capacity (TSV equivalent, K/month)  | 145           | 155           | 160           | 170           | 180           | 200           | 220           | 220           | 230           | 240           | 275           | 300           | 99            | 158           | 205            | 261            | 335            |

Source: Company data, J.P. Morgan estimates.

# SK hynix : HBM4 concern lingers but not a material threat

## SK Hynix – HBM business projection

|                                      | 1Q25   | 2Q25   | 3Q25   | 4Q25   | 1Q26   | 2Q26   | 3Q26   | 4Q26   | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 1Q28E  | 2Q28E  | 3Q28E  | 4Q28E  | 2023   | 2024   | 2025   | 2026E   | 2027E   | 2028E   |
|--------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------|---------|
| Frontend                             |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |         |         |         |
| Backend HBM capacity (Kwd/m)         | 165    | 155    | 160    | 170    | 180    | 200    | 220    | 220    | 250    | 240    | 275    | 300    | 320    | 320    | 340    | 360    | 38     | 58     | 64     | 202     | 258     | 332     |
| HBM3 (1nm)                           | 55     | 65     | 45     | 40     | 25     | 20     | 20     | 10     | 10     | 10     | 5      | 5      | 5      | 5      | 5      | 5      | 46     | 48     | 51     | 19      | 8       | 5       |
| HBM3E 8.4 (1nm)                      | 90     | 90     | 115    | 130    | 155    | 180    | 200    | 210    | 210    | 210    | 190    | 175    | 135    | 135    | 95     | 75     | -      | 51     | 106    | 186     | 196     | 105     |
| HBM4E (1nm)                          | -      | -      | -      | -      | -      | -      | -      | -      | 10     | 20     | 80     | 120    | 180    | 200    | 240    | 280    | -      | -      | -      | -       | 58      | 225     |
| Backend utilization (%)              | 99%    | 98%    | 97%    | 99%    | 99%    | 99%    | 99%    | 99%    | 100%   | 100%   | 98%    | 98%    | 100%   | 100%   | 98%    | 98%    | 82%    | 99%    | 98%    | 99%     | 99%     | 99%     |
| HBM die front-end production mix (%) |        |        |        |        |        |        |        |        | 4%     | 8%     | 29%    | 40%    | 56%    | 63%    | 77%    | 78%    | 82%    | 99%    | 98%    | 99%     | 99%     | 99%     |
| HBM2/E                               | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%      | 0%      | 0%      |
| HBM3 - 8H                            | 85%    | 13%    | 10%    | 8%     | 3%     | 1%     | 1%     | 1%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 97%    | 50%    | 11%    | 1%      | 0%      | 0%      |
| HBM3 - 12H                           | 3%     | 3%     | 2%     | 2%     | 1%     | 1%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 3%     | 3%     | 2%     | 0%      | 0%      | 0%      |
| HBM3E - 8H                           | 58%    | 35%    | 26%    | 19%    | 8%     | 8%     | 4%     | 1.3%   | 0.5%   | 0.5%   | 0.3%   | 0.3%   | 0.3%   | 0.3%   | 0.3%   | 0.3%   | 0%     | 42%    | 38%    | 5%      | 0%      | 0%      |
| HBM3E - 12H                          | 25%    | 50%    | 63%    | 72%    | 88%    | 80%    | 40%    | 39%    | 34%    | 34%    | 19.5%  | 10.0%  | 4.5%   | 4.5%   | 2.5%   | 2.0%   | 0%     | 4%     | 53%    | 58%     | 23%     | 3%      |
| HBM3E - 16H                          | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%     | 0%      | 0%      | 0%      |
| HBM4 - 12H                           | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | 0%     | 0%     | 0%     | 0%      | 0%      | 0%      |
| HBM4E - 16H                          | -      | -      | -      | -      | 1%     | 10%    | 55%    | 65%    | 65%    | 65%    | 15%    | 40%    | 60%    | 70%    | 75%    | 70%    | 0%     | 0%     | 0%     | 0%      | 15%     | 71%     |
| HBM bit production (mn Gb)           |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |         |         |         |
| HBM2/E                               | -      | -      | -      | -      | -      | -      | -      | -      | 9      | 10     | 4      | 5      | 4      | 4      | 4      | 4      | 1,281  | 2,326  | 991    | 131     | 28      | 16      |
| HBM3 - 8H                            | 293    | 274    | 231    | 193    | 67     | 30     | 17     | 17     | 13     | 14     | 6      | 7      | 6      | 6      | 6      | 6      | 52     | 235    | 257    | 85      | 40      | 24      |
| HBM3 - 12H                           | 71     | 80     | 51     | 56     | 39     | 22     | 12     | 12     | 25     | 26     | 18     | 20     | 25     | 25     | 26     | 28     | -      | 2,957  | 4,057  | 902     | 89      | 105     |
| HBM3E - 8H                           | 1,511  | 1,057  | 827    | 662    | 295    | 353    | 197    | 58     | 1,660  | 1,733  | 1,130  | 632    | 313    | 313    | 184    | 156    | -      | 276    | 6,407  | 9,626   | 5,156   | 966     |
| HBM3E - 12H                          | 612    | 1,421  | 1,930  | 2,467  | 3,128  | 3,221  | 1,795  | 1,481  | 3,047  | 3,180  | 3,617  | 3,005  | 2,340  | 1,671  | 1,551  | 1,483  | -      | -      | 7      | 5,505   | 12,848  | 7,055   |
| HBM3E - 16H                          | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | 977    | 2,960  | 5,092  | 5,941  | 6,713  | 7,344  | -      | -      | -      | -       | 3,938   | 25,089  |
| HBM4 - 12H                           | -      | -      | -      | 7      | 31     | 375    | 2,299  | 2,800  | 3,047  | 3,180  | 3,617  | 3,005  | 2,340  | 1,671  | 1,551  | 1,483  | -      | -      | 7      | 5,505   | 12,848  | 7,055   |
| HBM4E - 16H                          | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -       | -       | -       |
| Sum \$M                              | 2,487  | 2,832  | 3,039  | 3,385  | 3,560  | 4,001  | 4,318  | 4,368  | 4,755  | 4,962  | 5,753  | 6,629  | 7,760  | 7,960  | 8,484  | 9,032  | 1,333  | 5,804  | 11,743 | 16,348  | 22,100  | 33,255  |
| HBM ASP (US\$, 1G B)                 |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |         |         |         |
| HBM2/E                               | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -       | -       | -       |
| HBM3                                 | 10.1   | 10.1   | 10.1   | 10.1   | 9.1    | 9.1    | 9.1    | 9.1    | 8.7    | 8.7    | 8.7    | 8.7    | 8.2    | 8.2    | 8.2    | 8.2    | 12.5   | 11.3   | 10.1   | 9.1     | 8.7     | 8.2     |
| HBM3E (8H)                           | 13.1   | 13.1   | 13.1   | 13.1   | 11.8   | 11.8   | 11.8   | 11.8   | 11.8   | 11.8   | 11.8   | 11.8   | 11.2   | 11.2   | 11.2   | 11.2   | 13.8   | 13.1   | 13.1   | 11.8    | 11.8    | 11.2    |
| HBM3E (12H)                          | 15.2   | 15.2   | 15.2   | 14.4   | 14.4   | 14.4   | 14.4   | 15.1   | 15.1   | 15.1   | 15.1   | 14.4   | 14.4   | 14.4   | 14.4   | 13.6   | 15.2   | 14.9   | 14.5   | 15.0    | 14.2    | 14.2    |
| HBM3E (16H)                          | -      | -      | -      | -      | -      | -      | -      | -      | 17.4   | 17.4   | 17.4   | 16.5   | 16.5   | 16.5   | 16.5   | 15.7   | -      | -      | -      | -       | -       | -       |
| HBM4                                 | -      | -      | -      | -      | -      | -      | -      | -      | 18.0   | 18.0   | 18.0   | 18.0   | 18.0   | 18.0   | 18.0   | 18.0   | -      | -      | -      | -       | -       | -       |
| HBM4E                                | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -       | -       | -       |
| Blended HBM ASP (US\$/GB)            | 13.2   | 13.8   | 14.1   | 13.8   | 14.1   | 14.4   | 16.2   | 16.9   | 16.9   | 17.5   | 18.8   | 20.1   | 21.2   | 21.3   | 20.7   | 20.8   | 12.5   | 12.7   | 13.8   | 15.5    | 18.5    | 21.9    |
| HBM sales (US\$ mn)                  | 1.6    | 1.7    | 1.8    | 1.7    | 1.8    | 1.8    | 2.0    | 2.1    | 2.1    | 2.2    | 2.3    | 2.5    | 2.6    | 2.7    | 2.6    | 2.6    | 1.6    | 1.6    | 1.7    | 1.9     | 2.3     | 2.6     |
| HBM2/E                               | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -       | -       | -       |
| HBM3                                 | 460    | 449    | 357    | 315    | 121    | 59     | 33     | 33     | 24     | 25     | 12     | 13     | 10     | 10     | 10     | 11     | 2,083  | 3,616  | 1,580  | 246     | 74      | 41      |
| HBM3E (8H)                           | 2,473  | 1,729  | 1,354  | 1,084  | 434    | 519    | 290    | 85     | 37     | 39     | 26     | 29     | 35     | 35     | 37     | 39     | -      | 5,094  | 6,640  | 1,328   | 131     | 147     |
| HBM3E (12H)                          | 1,160  | 2,693  | 3,656  | 4,441  | 5,632  | 5,798  | 3,232  | 2,799  | 3,138  | 3,275  | 2,137  | 1,136  | 563    | 563    | 330    | 265    | -      | 523    | 11,951 | 17,461  | 9,685   | 1,720   |
| HBM3E (16H)                          | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -       | -       | -       |
| HBM4                                 | -      | -      | -      | 15     | 69     | 844    | 5,172  | 6,301  | 6,857  | 7,512  | 8,545  | 7,099  | 5,528  | 3,751  | 3,481  | 3,351  | -      | -      | 15     | 12,385  | 30,013  | 16,111  |
| HBM4E                                | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -      | -       | -       | -       |
| Sum                                  | 4,093  | 4,871  | 5,367  | 5,855  | 6,255  | 7,221  | 8,736  | 9,219  | 10,058 | 10,851 | 13,190 | 16,669 | 20,571 | 21,200 | 21,939 | 23,416 | 2,083  | 9,282  | 20,886 | 31,421  | 51,066  | 87,155  |
| DRAM financials (US\$ mn, 1GB eqv)   |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |         |         |         |
| DRAM Sales (US\$ mn)                 | 9,668  | 13,236 | 13,761 | 17,019 | 21,531 | 42,051 | 48,134 | 51,086 | 53,231 | 56,157 | 61,370 | 66,390 | 76,029 | 71,193 | 76,248 | 77,824 | 8,726  | 32,665 | 52,684 | 66,783  | 237,147 | 293,394 |
| DRAM OP (US\$ mn)                    | 5,053  | 6,701  | 8,021  | 11,439 | 21,100 | 34,504 | 39,771 | 42,140 | 43,083 | 45,630 | 49,749 | 53,370 | 55,258 | 56,112 | 59,077 | 62,173 | 108    | 14,768 | 31,214 | 37,516  | 191,832 | 232,621 |
| Shipment (Million Gb)                | 17,932 | 22,359 | 24,103 | 24,224 | 24,115 | 25,994 | 27,412 | 28,269 | 29,134 | 30,316 | 32,628 | 34,848 | 36,422 | 37,175 | 38,721 | 39,874 | 61,631 | 71,465 | 88,618 | 105,790 | 126,927 | 152,193 |
| % of DRAM Sales                      | 42.3%  | 38.8%  | 38.0%  | 34.4%  | 22.7%  | 17.2%  | 18.1%  | 18.0%  | 18.8%  | 18.3%  | 22.0%  | 25.1%  | 29.4%  | 29.8%  | 29.5%  | 30.1%  | 13.2%  | 28.3%  | 38.3%  | 18.8%   | 21.5%   | 28.7%   |
| % of DRAM OP                         | 54.3%  | 47.2%  | 43.5%  | 31.7%  | 18.3%  | 12.7%  | 13.3%  | 13.6%  | 15.3%  | 15.0%  | 17.7%  | 20.3%  | 23.5%  | 23.8%  | 23.4%  | 23.8%  | 884.8% | 35.3%  | 41.7%  | 14.0%   | 17.4%   | 23.0%   |
| % of DRAM Bit                        | 13.8%  | 12.7%  | 12.8%  | 14.0%  | 14.8%  | 15.4%  | 15.8%  | 15.5%  | 18.3%  | 18.4%  | 17.6%  | 19.0%  | 21.4%  | 21.4%  | 21.4%  | 22.7%  | 2.2%   | 8.3%   | 13.7%  | 15.4%   | 17.4%   | 21.0%   |
| OP (US\$ mn)                         | 2,743  | 3,166  | 3,489  | 3,625  | 3,867  | 4,376  | 5,307  | 5,716  | 6,601  | 7,120  | 8,812  | 10,858 | 12,972 | 13,368 | 13,828 | 14,778 | 952    | 5,216  | 13,022 | 19,265  | 33,391  | 54,946  |
| HBM E or below                       | 2,743  | 3,166  | 3,489  | 3,618  | 3,836  | 4,376  | 5,304  | 5,709  | 2,144  | 2,237  | 1,457  | 789    | 395    | 395    | 245    | 205    | 952    | 5,216  | 13,015 | 11,802  | 6,626   | 1,240   |
| HBM E or above                       | -      | -      | -      | 7      | 31     | 422    | 3,103  | 3,907  | 4,457  | 4,883  | 7,355  | 10,070 | 12,577 | 12,973 | 13,583 | 14,572 | -      | -      | 7      | 7,463   | 26,765  | 53,705  |
| OPM (%)                              | 67%    | 65%    | 65%    | 62%    | 62%    | 64%    | 64%    | 62%    | 65%    | 66%    | 65%    | 65%    | 63%    | 63%    | 63%    | 63%    | 48%    | 57%    | 65%    | 61%     | 65%     | 63%     |
| HBM E or below                       | 67%    | 65%    | 65%    | 62%    | 62%    | 62%    | 62%    | 62%    | 67%    | 67%    | 67%    | 67%    | 69%    | 69%    | 69%    | 69%    | 46%    | 57%    | 65%    | 62%     | 67%     | 65%     |
| HBM E or above                       | -      | -      | -      | 45%    | 45%    | 50%    | 60%    | 62%    | 65%    | 65%    | 65%    | 65%    | 63%    | 63%    | 63%    | 63%    | -      | -      | 45%    | 60%     | 65%     | 63%     |

Source: Company data, J.P. Morgan estimates.

# SK hynix : NAND assumption – NAND becoming the next AI memory

## SK Hynix – NAND business summary

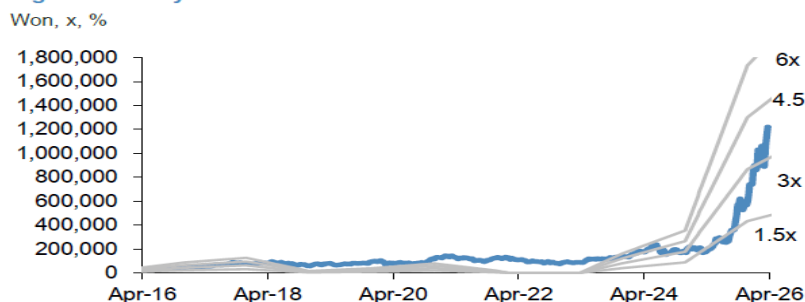
|                                                                                                                                         | 1Q25   | 2Q25   | 3Q25   | 4Q25   | 1Q26   | 2Q26E  | 3Q26E  | 4Q26E  | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 2024    | 2025    | 2026E   | 2027E   | 2028E   |      |     |     |     |
|-----------------------------------------------------------------------------------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------|---------|---------|---------|------|-----|-----|-----|
| 2. NAND Business                                                                                                                        |        |        |        |        |        |        |        |        |        |        |        |        |         |         |         |         |         |      |     |     |     |
| (8Gb equivalent)                                                                                                                        | -      | 5,446  | -      | 5,581  | -      | 5,412  | -      | 3,632  | 1,013  | 10,507 | 21,274 | 33,351 | 46,463  | 60,779  | 74,546  | 86,889  | 124%    | -96% | 91% | 82% | 25% |
| NAND revenue (US\$mnn)                                                                                                                  | 2,224  | 3,378  | 3,598  | 5,345  | 8,205  | 13,564 | 14,954 | 16,321 | 17,483 | 19,088 | 18,859 | 17,889 | 14,125  | 14,545  | 53,044  | 73,318  | 79,975  |      |     |     |     |
| Operating profit                                                                                                                        | 56     | -135   | 169    | 1,780  | 4,645  | 9,495  | 10,767 | 12,077 | 13,112 | 14,316 | 13,767 | 12,344 | 2,273   | 1,869   | 36,983  | 53,538  | 55,192  |      |     |     |     |
| OP margin, %                                                                                                                            | 3%     | -4%    | 5%     | 33%    | 57%    | 70%    | 72%    | 74%    | 75%    | 75%    | 73%    | 69%    | 16%     | 13%     | 70%     | 73%     | 69%     |      |     |     |     |
| EBITDA (Wbn)                                                                                                                            | 1,389  | 1,121  | 1,525  | 3,761  | 7,952  | 15,104 | 16,707 | 18,296 | 19,437 | 21,174 | 20,460 | 18,524 | 8,545   | 7,796   | 58,058  | 79,595  | 83,232  |      |     |     |     |
| EBITDA margin, %                                                                                                                        | 43%    | 24%    | 31%    | 49%    | 66%    | 76%    | 78%    | 78%    | 79%    | 79%    | 77%    | 74%    | 44%     | 38%     | 76%     | 78%     | 74%     |      |     |     |     |
| NAND bit shipments                                                                                                                      | 27,322 | 46,311 | 44,432 | 49,497 | 44,052 | 50,220 | 52,731 | 53,785 | 55,937 | 59,293 | 61,665 | 62,898 | 151,964 | 167,563 | 200,788 | 239,792 | 283,459 |      |     |     |     |
| Change, Q/Q (%)                                                                                                                         | (18)   | 70     | (4)    | 11     | (11)   | 14     | 5      | 2      | 4      | 6      | 4      | 2      |         |         | 19.5    | 18.6    | 18.2    |      |     |     |     |
| Change, Y/Y (%)                                                                                                                         | (36)   | 12     | 27     | 49     | 61     | 8      | 19     | 9      | (3)    | 8      | 10     | 3      | (1.8)   | 10.3    | 19.8    | 19.4    | 18.2    |      |     |     |     |
| Blended ASP (US\$)                                                                                                                      | 0.08   | 0.07   | 0.08   | 0.11   | 0.19   | 0.27   | 0.28   | 0.30   | 0.31   | 0.32   | 0.31   | 0.28   | 0.09    | 0.09    | 0.26    | 0.31    | 0.28    |      |     |     |     |
| Change, Q/Q (%)                                                                                                                         | (20)   | (10)   | 11     | 33     | 73     | 45     | 5      | 7      | 3      | 3      | (9)    | (7)    | 0.74    | 0.69    | 2.11    | 2.45    | 2.26    |      |     |     |     |
| Change, Y/Y (%)                                                                                                                         | 4      | (20)   | (23)   | 7      | 129    | 270    | 250    | 181    | 68     | 19     | 8      | (6)    | 96      | (7)     | 204     | 16      | (8)     |      |     |     |     |
| 2Q25 guide: 3Q25 guide: 4Q25 guide: 1Q26 guide: NAND B/E slight decline, 1Q26 ASP likely to move up similar or higher than that of 4Q25 |        |        |        |        |        |        |        |        |        |        |        |        |         |         |         |         |         |      |     |     |     |
| NAND utilization, %                                                                                                                     | 73%    | 73%    | 78%    | 85%    | 95%    | 100%   | 100%   | 100%   | 100%   | 100%   | 100%   | 100%   |         |         |         |         |         |      |     |     |     |
| NAND inventory (weeks)                                                                                                                  | 9.0    | 4.5    | 4.0    | 3.5    | 3.5    |        |        |        |        |        |        |        | 9.0     | 3.5     | -       | -       | -       |      |     |     |     |
| Absolute NANDV inventory (8Gb eqv)                                                                                                      | 18,915 | 16,031 | 13,671 | 13,326 | 11,860 | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 151,964 | 167,563 | 200,788 | 239,792 | 283,459 |      |     |     |     |
| Absolute NANDV inventory (\$ mn)                                                                                                        | 1,540  | 1,169  | 1,107  | 1,439  | 2,209  | 0      | 0      | 0      | 0      | 0      | 0      | 0      |         |         |         |         |         |      |     |     |     |
|                                                                                                                                         |        |        |        |        |        | 20.0%  | -2.9%  | 2.3%   | 0.5%   | 1.5%   | -4.5%  | -3.5%  |         |         |         |         |         |      |     |     |     |
| Margin leverage (inventory gain)                                                                                                        | 2.5%   | -4.0%  | 4.7%   | 33.3%  | 56.6%  | 76.6%  | 73.8%  | 76.0%  | 76.5%  | 78.0%  | 73.5%  | 70.0%  |         |         |         |         |         |      |     |     |     |
| Ex-inventory OPM (%)                                                                                                                    | 5.1%   | -5.3%  | 4.3%   | 29.7%  | 69.6%  | 79.1%  | 72.5%  | 75.5%  | 75.5%  | 76.5%  | 72.5%  | 69.5%  |         |         |         |         |         |      |     |     |     |
| Inventory/Mix/other impact (%)                                                                                                          | 1.8%   | -16.1% | 1.5%   | 0.7%   | -10.2% | -6.0%  | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |         |         |         |         |         |      |     |     |     |

Source: Company data, J.P. Morgan estimates.

# SK Hynix: Dec-26 PT at W1.8mn, Share price analysis

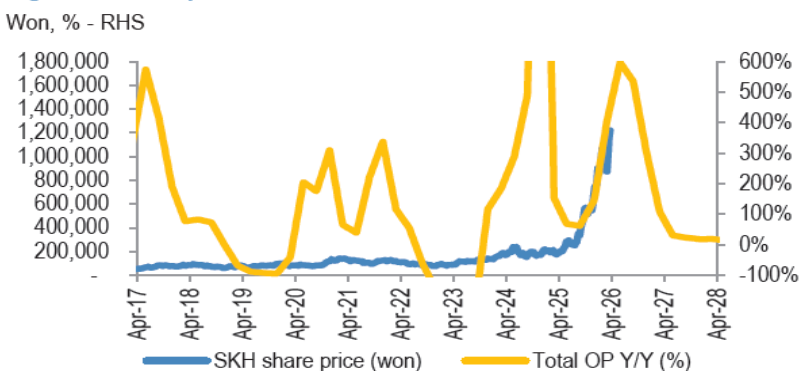
| (W in billion)  | 2025          |               |               |               | 2026E         |               |               |               | 2027E         |               |               |               | 2024          | 2025          | 2026E          | 2027E          | 2028E          |
|-----------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|
|                 | 1Q            | 2Q            | 3Q            | 4Q            | 1Q            | 2QE           | 3QE           | 4QE           | 1QE           | 2QE           | 3QE           | 4QE           |               |               |                |                |                |
| <b>Revenue</b>  | <b>17,639</b> | <b>22,232</b> | <b>24,449</b> | <b>32,827</b> | <b>52,576</b> | <b>81,598</b> | <b>90,588</b> | <b>96,792</b> | <b>99,399</b> | <b>#####</b>  | <b>#####</b>  | <b>#####</b>  | <b>66,193</b> | <b>97,147</b> | <b>321,554</b> | <b>436,252</b> | <b>524,317</b> |
| DRAM            | 14,037        | 17,124        | 19,084        | 24,659        | 40,195        | 61,395        | 68,804        | 73,053        | 74,523        | 78,620        | 85,918        | 92,945        | 44,732        | 74,904        | 243,447        | 332,006        | 410,752        |
| NAND Flash      | 3,229         | 4,728         | 4,989         | 7,744         | 11,980        | 19,803        | 21,384        | 23,339        | 24,476        | 26,723        | 26,402        | 25,045        | 19,274        | 20,690        | 76,505         | 102,645        | 111,965        |
| <b>EBIT</b>     | <b>7,441</b>  | <b>9,213</b>  | <b>11,383</b> | <b>19,170</b> | <b>37,610</b> | <b>64,262</b> | <b>72,294</b> | <b>77,555</b> | <b>78,697</b> | <b>83,948</b> | <b>88,947</b> | <b>92,022</b> | <b>23,467</b> | <b>47,206</b> | <b>251,721</b> | <b>343,614</b> | <b>403,034</b> |
| DRAM            | 7,337         | 9,378         | 11,124        | 16,574        | 30,806        | 50,376        | 56,873        | 60,261        | 60,316        | 63,882        | 69,649        | 74,717        | 20,259        | 44,413        | 198,316        | 268,565        | 325,669        |
| Margin (%)      | 52            | 55            | 58            | 67            | 77            | 82            | 83            | 82            | 81            | 81            | 81            | 80            | 45            | 59            | 81             | 81             | 79             |
| Flash/SRAM      | 81            | -189          | 234           | 2,579         | 6,781         | 13,862        | 15,397        | 17,271        | 18,357        | 20,042        | 19,273        | 17,281        | 3,115         | 2,705         | 53,311         | 74,953         | 77,269         |
| Margin (%)      | 3             | -4            | 5             | 33            | 57            | 70            | 72            | 74            | 75            | 75            | 73            | 69            | 16            | 13            | 70             | 73             | 69             |
| <b>EBIT y-y</b> | <b>4,554</b>  | <b>3,744</b>  | <b>4,353</b>  | <b>11,087</b> | <b>30,169</b> | <b>55,049</b> | <b>60,910</b> | <b>58,386</b> | <b>41,087</b> | <b>19,686</b> | <b>16,653</b> | <b>14,467</b> | <b>31,198</b> | <b>23,739</b> | <b>204,515</b> | <b>91,893</b>  | <b>59,420</b>  |

Figure 2: SK hynix – 12M forward P/E bands



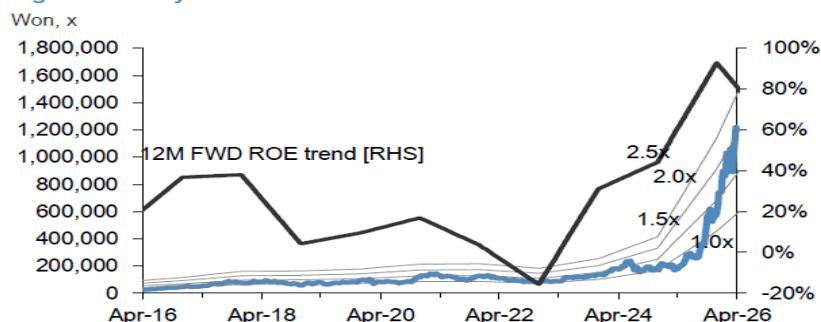
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 6: Share price vs total OP Y/Y trend



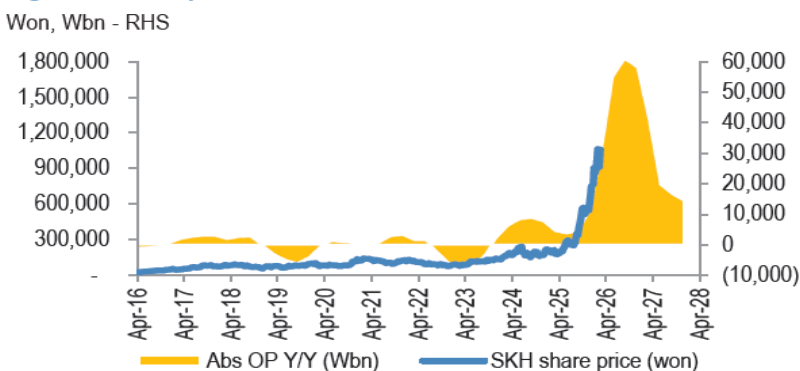
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 2Q26 onwards are JPM OP estimates.

Figure 3: SK hynix – 12M forward P/B bands and ROE trend



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 7: Share price vs absolute total OP Y/Y trend



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 2Q26 onwards are JPM OP estimates.



# SK Hynix : Capex and capital Intensity/FCF analysis

## Historical FCF (EBITDA-Capex) generation by key division

W bn

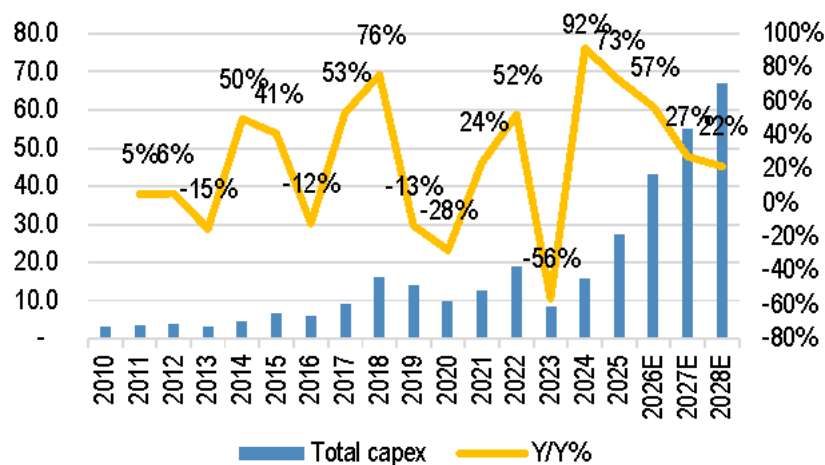
| DRAM                       | 2014  | 2015  | 2016  | 2017   | 2018   | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025    | 2026E   | 2027E   | 2028E   |
|----------------------------|-------|-------|-------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------|---------|---------|
| EBITDA                     | 7,410 | 7,779 | 6,246 | 15,742 | 23,686 | 10,458 | 11,361 | 17,632 | 14,907 | 7,427  | 27,390 | 53,238  | 211,127 | 289,370 | 357,014 |
| CAPEX                      | 3,474 | 4,830 | 4,174 | 4,350  | 7,500  | 8,350  | 6,050  | 7,450  | 11,350 | 5,630  | 13,670 | 24,629  | 38,194  | 49,775  | 57,620  |
| FCF (EBITDA- CAPEX)        | 3,936 | 2,949 | 2,071 | 11,392 | 16,186 | 2,108  | 5,311  | 10,182 | 3,557  | 1,796  | 13,720 | 28,609  | 172,933 | 239,595 | 299,394 |
| Accumulated FCF since 2014 | 3,936 | 6,885 | 8,957 | 20,349 | 36,534 | 38,642 | 43,953 | 54,135 | 57,692 | 59,489 | 73,209 | 101,817 | 274,750 | 514,345 | 813,739 |

### NAND

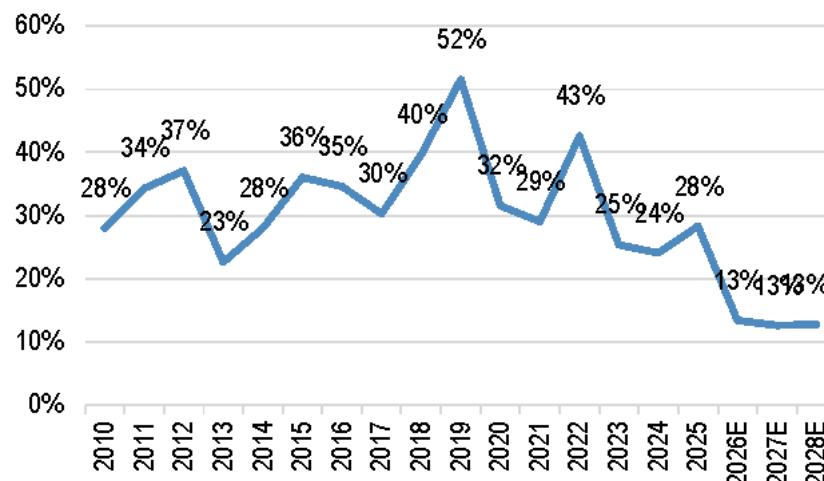
|                            |       |       |       |       |       |       |        |        |        |        |        |        |        |        |         |
|----------------------------|-------|-------|-------|-------|-------|-------|--------|--------|--------|--------|--------|--------|--------|--------|---------|
| EBITDA                     | 1,099 | 1,443 | 1,433 | 2,960 | 3,534 | 479   | 2,992  | 4,925  | 5,496  | 1,674  | 8,545  | 7,796  | 58,058 | 79,595 | 83,232  |
| CAPEX                      | 1,211 | 1,850 | 1,623 | 4,600 | 8,325 | 5,400 | 3,900  | 4,875  | 7,475  | 2,538  | 1,993  | 2,202  | 3,776  | 3,850  | 7,538   |
| FCF (EBITDA- CAPEX)        | -     | 112   | 407   | 190   | 1,640 | 4,791 | 4,921  | 908    | 50     | 1,979  | 4,212  | 6,552  | 5,595  | 54,282 | 75,695  |
| Accumulated FCF since 2014 | -     | 112   | 519   | 709   | 2,349 | 7,140 | 12,061 | 12,970 | 12,920 | 14,898 | 19,111 | 12,559 | 6,964  | 47,318 | 123,063 |

| Memory                     | 2014  | 2015  | 2016  | 2017   | 2018   | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026E   | 2027E   | 2028E     |
|----------------------------|-------|-------|-------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------|-----------|
| EBITDA                     | 8,509 | 9,222 | 7,679 | 18,702 | 27,220 | 10,937 | 14,353 | 22,557 | 20,403 | 5,762  | 35,935 | 61,034 | 269,186 | 368,964 | 440,246   |
| CAPEX                      | 4,685 | 6,680 | 5,798 | 8,950  | 15,825 | 13,750 | 9,950  | 12,325 | 18,825 | 8,168  | 15,663 | 26,831 | 41,970  | 53,625  | 65,158    |
| FCF (EBITDA- CAPEX)        | 3,824 | 2,542 | 1,881 | 9,752  | 11,395 | 2,813  | 4,403  | 10,232 | 1,578  | 2,416  | 20,272 | 34,203 | 227,215 | 315,339 | 375,088   |
| Accumulated FCF since 2014 | 3,824 | 6,366 | 8,248 | 17,999 | 29,394 | 26,581 | 30,983 | 41,216 | 42,794 | 40,378 | 60,650 | 94,853 | 322,069 | 637,408 | 1,012,496 |

Source: Company data, J.P. Morgan estimates.



Source: Company data, J.P. Morgan estimates.



Source: Company data, J.P. Morgan estimates.

# SK hynix: Earnings outlook

## Quarterly earnings outlook

| (W in billion)               | 2025          |               |               |               | 2026E         |               |               |               | 2027E         |                |                |                |               |               |                |                |                |
|------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|---------------|---------------|----------------|----------------|----------------|
|                              | 1Q            | 2Q            | 3Q            | 4Q            | 1Q            | 2QE           | 3QE           | 4QE           | 1QE           | 2QE            | 3QE            | 4QE            | 2024          | 2025          | 2026E          | 2027E          | 2028E          |
| <b>Revenue</b>               | <b>17,639</b> | <b>22,232</b> | <b>24,449</b> | <b>32,827</b> | <b>52,576</b> | <b>81,598</b> | <b>90,588</b> | <b>96,792</b> | <b>99,399</b> | <b>105,742</b> | <b>112,720</b> | <b>118,390</b> | <b>66,193</b> | <b>97,147</b> | <b>321,554</b> | <b>436,252</b> | <b>524,317</b> |
| DRAM                         | 14,037        | 17,124        | 19,084        | 24,659        | 40,195        | 61,395        | 68,804        | 73,053        | 74,523        | 78,620         | 85,918         | 92,945         | 44,732        | 74,904        | 243,447        | 332,006        | 410,752        |
| NAND Flash                   | 3,229         | 4,728         | 4,989         | 7,744         | 11,980        | 19,803        | 21,384        | 23,339        | 24,476        | 26,723         | 26,402         | 25,045         | 19,274        | 20,690        | 76,505         | 102,645        | 111,965        |
| Others                       | 373           | 380           | 376           | 423           | 401           | 400           | 400           | 400           | 400           | 400            | 400            | 400            | 2,187         | 1,552         | 1,601          | 1,600          | 1,600          |
| Depreciation                 | -3,124        | -3,249        | -3,360        | -3,366        | -3,520        | -4,001        | -4,518        | -4,666        | -5,231        | -5,795         | -6,403         | -7,055         | -12,582       | -13,930       | -17,566        | -25,453        | -37,314        |
| COGS                         | 7,537         | 10,249        | 10,420        | 10,250        | 10,897        | 11,624        | 11,953        | 11,493        | 13,148        | 13,758         | 15,207         | 17,370         | -34,365       | -38,456       | -45,967        | -59,483        | -80,386        |
| <b>Gross Profit</b>          | <b>10,102</b> | <b>11,983</b> | <b>14,029</b> | <b>22,576</b> | <b>41,679</b> | <b>69,974</b> | <b>78,635</b> | <b>85,299</b> | <b>86,252</b> | <b>91,984</b>  | <b>97,513</b>  | <b>101,020</b> | <b>31,828</b> | <b>58,691</b> | <b>275,586</b> | <b>376,769</b> | <b>443,931</b> |
| SG&A Expenses                | 2,661         | 2,770         | 2,646         | 3,407         | 4,069         | 5,712         | 6,341         | 7,743         | 7,554         | 8,036          | 8,567          | 8,998          | 8,361         | 11,484        | 23,865         | 33,155         | 40,897         |
| % of Revenue (%)             | 15            | 12            | 11            | 10            | 8             | 7             | 7             | 8             | 8             | 8              | 8              | 8              | 13            | 12            | 7              | 8              | 8              |
| <b>EBIT</b>                  | <b>7,441</b>  | <b>9,213</b>  | <b>11,383</b> | <b>19,170</b> | <b>37,610</b> | <b>64,262</b> | <b>72,294</b> | <b>77,555</b> | <b>78,697</b> | <b>83,948</b>  | <b>88,947</b>  | <b>92,022</b>  | <b>23,467</b> | <b>47,206</b> | <b>251,721</b> | <b>343,614</b> | <b>403,034</b> |
| DRAM                         | 7,337         | 9,378         | 11,124        | 16,574        | 30,806        | 50,376        | 56,873        | 60,261        | 60,316        | 63,882         | 69,649         | 74,717         | 20,259        | 44,413        | 198,316        | 268,565        | 325,669        |
| Margin (%)                   | 52            | 55            | 58            | 67            | 77            | 82            | 83            | 82            | 81            | 81             | 81             | 80             | 45            | 59            | 81             | 81             | 79             |
| Flash/SRAM                   | 81            | -189          | 234           | 2,579         | 6,781         | 13,862        | 15,397        | 17,271        | 18,357        | 20,042         | 19,273         | 17,281         | 3,115         | 2,705         | 53,311         | 74,953         | 77,269         |
| Margin (%)                   | 3             | -4            | 5             | 33            | 57            | 70            | 72            | 74            | 75            | 75             | 73             | 69             | 16            | 13            | 70             | 73             | 69             |
| Others                       | 23            | 24            | 25            | 16            | 23            | 24            | 24            | 24            | 24            | 24             | 24             | 24             | 94            | 88            | 95             | 96             | 96             |
| Margin (%)                   | 6             | 6             | 7             | 4             | 6             | 6             | 6             | 6             | 6             | 6              | 6              | 6              | 4             | 6             | 6              | 6              | 6              |
| Net Interest Income          | -126          | -129          | -103          | -72           | 22            | 93            | 261           | 495           | 753           | 1,037          | 1,342          | 1,662          | -1,000        | -429          | 872            | 4,794          | 10,129         |
| Net Other Income             | 1,985         | -361          | 3,510         | -1,445        | 13,985        | 766           | 856           | 918           | 944           | 1,007          | 1,077          | 1,134          | 1,418         | 3,689         | 16,525         | 4,163          | 5,043          |
| Pre Tax Profit               | 9,299         | 8,723         | 14,790        | 17,653        | 51,617        | 65,121        | 73,411        | 78,968        | 80,394        | 85,992         | 91,366         | 94,818         | 23,885        | 50,466        | 269,117        | 352,571        | 418,206        |
| Tax                          | 1,191         | 1,726         | 2,193         | 2,407         | 11,271        | 14,220        | 16,030        | 17,243        | 17,555        | 18,777         | 19,950         | 20,704         | 4,088         | 7,518         | 58,764         | 76,987         | 91,319         |
| Extraordinary gain(loss)     | -             | 1             | 234           | 26.17         | 15.73         | -             | -             | -             | -             | -              | -              | -              | 0             | -28           | -16            | 0              | 0              |
| <b>Net Profit</b>            | <b>8,108</b>  | <b>6,997</b>  | <b>12,595</b> | <b>15,220</b> | <b>40,330</b> | <b>50,902</b> | <b>57,381</b> | <b>61,725</b> | <b>62,840</b> | <b>67,215</b>  | <b>71,415</b>  | <b>74,114</b>  | <b>19,797</b> | <b>42,920</b> | <b>210,338</b> | <b>275,584</b> | <b>326,887</b> |
| <b>EPS (W)</b>               | <b>11,136</b> | <b>9,610</b>  | <b>17,299</b> | <b>20,904</b> | <b>55,392</b> | <b>69,911</b> | <b>78,810</b> | <b>84,776</b> | <b>86,307</b> | <b>92,317</b>  | <b>98,086</b>  | <b>101,792</b> | <b>27,190</b> | <b>58,987</b> | <b>288,911</b> | <b>378,503</b> | <b>448,966</b> |
| <b>Margins (%)</b>           |               |               |               |               |               |               |               |               |               |                |                |                |               |               |                |                |                |
| Gross Margin                 | 57            | 54            | 57            | 69            | 79            | 86            | 87            | 88            | 87            | 87             | 87             | 85             | 48            | 60            | 86             | 86             | 85             |
| Operating Margin             | 42            | 41            | 47            | 58            | 72            | 79            | 80            | 80            | 79            | 79             | 79             | 78             | 35            | 49            | 78             | 79             | 77             |
| EBITDA Margin                | 60            | 56            | 60            | 69            | 78            | 84            | 85            | 85            | 84            | 85             | 85             | 84             | 54            | 63            | 84             | 85             | 84             |
| Net Margin                   | 46            | 31            | 52            | 46            | 77            | 62            | 63            | 64            | 63            | 64             | 63             | 63             | 30            | 44            | 65             | 63             | 62             |
| <b>Sequential Growth (%)</b> |               |               |               |               |               |               |               |               |               |                |                |                |               |               |                |                |                |
| Revenue                      | -11           | 26            | 10            | 34            | 60            | 55            | 11            | 7             | 3             | 6              | 7              | 5              | 102           | 47            | 231            | 36             | 20             |
| Gross Profit                 | -3            | 19            | 17            | 61            | 85            | 68            | 12            | 8             | 1             | 7              | 6              | 4              | na            | 84            | 370            | 37             | 18             |
| EBIT                         | -8            | 24            | 24            | 68            | 96            | 71            | 12            | 7             | 1             | 7              | 6              | 3              | na            | 101           | 433            | 37             | 17             |
| Net Profit                   | 1             | -14           | 80            | 21            | 165           | 26            | 13            | 8             | 2             | 7              | 6              | 4              | na            | 117           | 390            | 31             | 19             |
| EPS                          | 1             | -14           | 80            | 21            | 165           | 26            | 13            | 8             | 2             | 7              | 6              | 4              | na            | 117           | 390            | 31             | 19             |
| EBITDA                       | 10,565        | 12,462        | 14,744        | 22,536        | 41,130        | 68,263        | 76,811        | 82,221        | 83,928        | 89,743         | 95,349         | 99,078         | 35,453        | 60,306        | 268,425        | 368,098        | 439,259        |
| CAPEX                        | -6,284        | -4,332        | -5,032        | -11,871       | -7,657        | -10,500       | -12,000       | -13,000       | -13,000       | -13,000        | -14,000        | -15,000        | -15,946       | -27,519       | -43,157        | -55,000        | -67,000        |

Source: Company data, J.P. Morgan estimates.

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**Investment Thesis**

Our OW rating on SK hynix is based on the company's solid AI solution execution capability, which has substantially improved its earnings generation capability. We believe we are in the early stages of a memory up-cycle, and improving conventional fundamentals put SKH in a positive position, as the pure memory business carries a higher beta.

**Valuation**

Our Dec-26 PT of W1.8M is based on 2.8x average FY26-27E BPS to reflect a stronger and longer memory upcycle (a 10% premium to the historical peak FTM in the last 15 years and implies a 5.5x FY26/27E EPS).

**Risks to Rating and Price Target**

Key downside risks include lower-than-expected DRAM prices and margins, and uncertainty around end demand/inventories. Key upside catalysts include further DRAM ASP rallies, led by stronger-than-expected demand.

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SK hynix (000660.KS, 000660 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

| Date      | Rating | Price (W) | Price Target (W) |
|-----------|--------|-----------|------------------|
| 26-Apr-23 | OW     | 85500     | 120,000          |
| 12-Jun-23 | OW     | 115400    | 150,000          |
| 07-Nov-23 | OW     | 133000    | 160,000          |
| 25-Jan-24 | OW     | 141500    | 175,000          |
| 22-Feb-24 | OW     | 149000    | 185,000          |
| 28-Mar-24 | OW     | 181200    | 260,000          |
| 16-Jul-24 | OW     | 230000    | 300,000          |
| 08-Sep-24 | OW     | 156400    | 240,000          |
| 24-Oct-24 | OW     | 196000    | 260,000          |
| 10-Dec-24 | OW     | 168900    | 210,000          |
| 23-Jan-25 | OW     | 225500    | 280,000          |
| 03-Apr-25 | OW     | 197900    | 300,000          |
| 24-Apr-25 | OW     | 181000    | 285,000          |
| 25-Jun-25 | OW     | 278500    | 360,000          |
| 24-Sep-25 | OW     | 361000    | 460,000          |
| 23-Oct-25 | OW     | 481000    | 650,000          |
| 29-Oct-25 | OW     | 519000    | 700,000          |
| 14-Dec-25 | OW     | 571000    | 800,000          |
| 16-Jan-26 | OW     | 756000    | 1,000,000        |
| 29-Jan-26 | OW     | 862000    | 1,250,000        |
| 22-Mar-26 | OW     | 1006000   | 1,550,000        |
| 23-Apr-26 | OW     | 1220000   | 1,800,000        |

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